



Let's Get to Work: Updates on Federal Policies Creating Opportunities to Expand Competitive Integrated Employment

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What Is the Vision of a System For People with Disabilities?

- Support people with disabilities to have **lives like people without disabilities**
- Provide opportunities for **true integration, independence, choice, and self-determination in all aspects of life** – where people live, spend their days, and community membership
- Ensure **quality services and supports** that meet people's needs and help them achieve goals they have identified through real person-centered planning

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Employment is Critical To Meeting Our System Goals

- Supporting people with disabilities to work in integrated employment in the community is critical to:
 - Helping people with disabilities access the greater community;
 - Facilitating relationships with people without disabilities;
 - Building new skills and self-esteem;
 - Helping bring people with disabilities out of poverty;
 - Reducing utilization of other Medicaid services; and
 - Providing meaningful ways for people to spend their days.
- Good systems make sure employment is the centerpiece of how they think about all other day services

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Current State of Day Service Systems

- Many states have "Employment First" policies (on paper) or initiatives. YET
- Only 19% of people receiving IDD day services receiving integrated employment services
 - This is DOWN from a peak of 25% in 2001
 - For those working, it is often for very limited number of hours
- Only about 11% of state IDD funding for day services goes towards competitive integrated employment; the remainder largely goes to congregate, facility-based day programs

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Opportunities to Advance Employment

States should be focusing on increasing opportunities for competitive integrated employment through implementation of:

- *Olmstead*
- HCBS Settings Rule
- Workforce Innovation and Opportunity Act (WIOA)

Employment of people with disabilities is an issue that has received bi-partisan support, so keep moving it forward!

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Opening Discussion Questions

- How can you align all of these policies and best leverage them in your state to increase opportunities for competitive integrated employment?
- Are any of your states thinking about all of these policies holistically? What strategies are you using?

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UPDATES RE: *OLMSTEAD* COMPLIANCE

Olmstead Application to Segregated Day Services

- ADA and *Olmstead* applies to **all types of services**, both residential and non-residential
 - Segregated setting under the ADA include those “that provide for daytime activities primarily with other people with disabilities”
 - Integrated settings under the ADA include those that provide people with disabilities the “opportunity to live, **work** and receive services **in the greater community**”
- Recent *Olmstead* litigation challenging states over-reliant on providing “employment-related services” in segregated settings (i.e., sheltered workshops) in Oregon and Rhode Island

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Day-related *Olmstead* Litigation

- *Lane v. Kitzhaber/US v. Oregon*:
 - DOJ and private plaintiffs alleged Oregon violating *Olmstead* by over-relying on sheltered workshops, individuals remaining in workshops for long periods instead of moving to real work, and youth-to-workshop pipeline.
 - Court rejected Oregon's argument that *Olmstead* limited to residential segregation and found applies to all services, including employment-related
 - Settlement includes providing supported employment services to people transitioning from, or diverted from, sheltered workshops and "closing the front door" to sheltered workshops

Day-related *Olmstead* Litigation (cont'd)

- *US v. Rhode Island*:
 - DOJ alleged State violating *Olmstead* by over-relying on sheltered workshops and day habilitation, individuals remaining in workshops and day for long periods instead of moving to real work, and youth pipeline to segregated settings.
 - Expansion of supported employment placements to people currently in workshops and facility-based day programs and to students leaving high school
 - Benchmark of system average of at least 20 hours/ week of employment in integrated settings
 - Wraparound" integrated non-work day services (e.g., mainstream recreational, social, educational, cultural and athletic activities) so an opportunity for 40 hours of integrated day services per week
 - Development of a cross-agency Employment First policy (including schools)
 - Provider support: conversion trust fund, institute and TA

DOJ's October 2016 *Olmstead* Guidance on Employment

- Consolidates in a single document court decisions from litigation, DOJ findings letters, and settlement agreements re application of *Olmstead* to day services
- Guidance broadly focuses on unnecessary segregation in non-residential services:
 - "The civil rights of persons with disabilities . . . are violated by unnecessary segregation in a wide variety of settings, including in segregated employment, vocational and day programs."
 - These settings include sheltered workshops, facility-based day habilitation centers, and day treatment programs

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DOJ *Olmstead* Guidance on Employment (cont'd)

- "Integrated setting" under ADA aligns with WIOA definition for competitive integrated employment.
 - Interaction with people without disabilities, at or above minimum wage, and same opportunities for benefits and advancement
- "Segregated setting" under ADA include "settings that are managed, operated or licensed by a service provider to serve primarily people with disabilities who are supervised by paid support staff."
 - Examples include sheltered workshops and enclaves

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DOJ Olmstead
Guidance on Employment (cont'd)

- Factors to consider when evaluating if a state's system has sufficient capacity to offer opportunities for CIE:
 - Individualization of services: matching of a person's skills, abilities, and interests with a set of services and jobs; requires trained and experienced employment professionals
 - Amount, intensity and duration of services: receiving services that help people work for the maximum number of hours consistent with their preferences and skills; may require rebalancing of resources and performance based payments
 - Access to integration during non-work hours: Integrated day services as a wraparound and to increase employment outcomes

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DOJ Olmstead
Guidance on Employment (cont'd)

- Evidence that people in segregated settings can work includes:
 - Employment first policies that presume employability
 - People with similar needs are working with supports
 - History of employment
- Informed choice requires active engagement, including:
 - Information, assessments, discovery, job exploration, peer-to-peer mentoring, visits, benefits counseling
 - Must take affirmative steps to address the history of people being told they cannot work and/or that the segregated setting is their only option

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DOJ Olmstead
Guidance on Employment (cont'd)

- ADA applies to people at serious risk of segregation including youth transitioning from school
- Remedies for *Olmstead* violations (similar to OR and RI):
 - Expansion of supported employment services, as measured by "indicators of integration" (interaction with people w/o disabilities, # hour working, parity in wages and benefits)
 - Systemwide capacity building, including adequate rates and provider transformation
 - In-reach to people in segregated settings

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DOJ Olmstead
Guidance on Employment (cont'd)

- Components of Olmstead plan
 - Concrete, reliable and specific commitments re moving people from segregated day settings to CIE
 - Must include funding to support the plan (can be reallocation)
- *Olmstead* applies to all types of segregated day services
 - *Olmstead* may be violated when people spend part of their day in SW and part in day hab, or all of their day in segregated day program
 - "Public entities cannot evade their *Olmstead* obligations by limiting access to one segregated setting while moving individuals into a different segregated setting" (e.g., cease referrals to sheltered workshops but instead move people to day habilitation programs)

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Does *Olmstead* Require States to Provide a Choice of Segregated Services?

- Some parents have tried bringing *Olmstead* claims to stop closures of state-operated ICFs, citing the decision's language about choice
- Courts have consistently found, consistent with DOJ's interpretation, that the ADA and *Olmstead* require states to provide services in integrated settings and not an obligation to provide them in institutions or segregated settings.
- Courts have also found that there is no right to remain in a particular institution or segregated setting if a state chooses to close them.
- This same rationale would apply to segregated day settings.

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What is the Relationship Between the HCBS Rules and *Olmstead* Compliance?

- States can use the HCBS settings rules to further *Olmstead* compliance by rebalancing away from providing services in segregated settings and ensuring system capacity to provide all HCBS participants a choice of services in integrated settings.
- **BUT states' obligations under Medicaid (including the HCBS settings rules) and the ADA are separate and independent.**
 - A determination that a setting complies with the HCBS rules does not necessarily mean that it is an "integrated setting" under the ADA
 - CMS' approval of a state's transition plan does not necessarily mean that the state is in compliance with the ADA and *Olmstead*.
 - CMS has made this clear in all of its approval letters

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Discussion Questions

- Is your state engaged in any *Olmstead* planning or litigation related to day services?
- Has *Olmstead* been part of the conversation within your state about opportunities for competitive integrated employment for people with disabilities?

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UPDATES RE: CMS' HCBS SETTINGS RULE

Opportunities Created by the HCBS Settings Rule

- Expand capacity of more integrated and individualized services
 - Including competitive integrated employment
- Move state systems away from outdated, segregated service models
 - Including sheltered workshops and facility-based day habilitation programs
- Help states comply with their obligations under *Olmstead* including around employment

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Opportunities to Move State Systems Towards More Integrated Services

- Requirement for a choice of a “non-disability specific setting”
- Tiered standards that allow states to “close the front door” to legacy programs and focus new capacity on more individualized and integrated services
- States setting standards higher than the rule’s “floor” to further state goals and initiatives

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Choice of Non-Disability Specific Setting

- Rule requires states to offer individuals a choice of a “non-disability specific setting”
 - This requirement applies to both residential and non-residential settings
 - Examples include choice to live in one’s own home (residential) or to work in competitive, integrated employment (non-residential)
- CMS has made clear in recent approval letters that **states should assess their current capacity of non-disability specific settings and develop a plan to increase capacity** so all individuals have a real and meaningful choice

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Tiered Standards

- **States have flexibility to set different standards for existing and new settings through their statewide transition plan**
 - Existing settings must meet the minimum standards set forth in the HCBS rules but the state “may suspend admission to the setting or suspend new provider approval/authorizations for those settings”
 - State may set standards for “models of service that more fully meet the state’s standards” for HCBS and require all new service development to meeting the higher standards
 - The tiered standard can extend beyond the transition plan timeframe
 - **This allows states to “close the front door” to settings/services**
 - Numerous states are using tiered standards to move away from facility-based day and to focus on CIE

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Setting Standards that Align with the State's Goals, Priorities and Vision

- HCBS rules set the floor for compliance
- CMS has made clear that states can set higher standards
- State should align their HCBS transition activities with their own state initiatives and other federal obligations:
 - State "Employment First" initiatives
 - State's Workforce Innovation Opportunity Act plans
 - State's *Olmstead* plans or settlement agreements

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Positive State Examples Re Employment and Day Services

- Some states are moving towards more individualized and integrated employment and services through the HCBS transition process:
 - Moving from facility-based to all community-based day services
 - Transforming models for facility-based day habilitation (to a "hub-and-spoke" model)
 - Phasing out sheltered workshops
 - Expanding the capacity of competitive, integrated employment
 - Funding help bring providers into compliance through model changes
 - Aligning with *Olmstead* activities

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Status of State Plan Approvals

- A number of other states have received initial approval for their systemic assessment along with detailed letters of additional steps to be taken
 - As of November 23, this includes 13 states (AR, CT, DE, ID, IN, IA, KY, ND, OH, OR, PA, WA, WV)
- Tennessee is the only state to have received full approval. Highlights include:
 - Assessment and validation of all settings
 - Ongoing stakeholder input and engagement
 - Internal HS review before determining whether to submit to CMS
 - Using tiered standards to transform to community-based day services

Themes from Recent CMS Letters

- Public Comment
 - Must give specific responses to comments (not just "considering it") and show how public comment is being used to inform its STP
 - Public comment required for completed assessment and HS evidence
- Setting descriptions
 - STPs must include a complete list of settings used in each individual waiver with the # of settings and # of participants in those settings
- Systemic settings assessments
 - STP must crosswalk state standards to each HCBS requirement and note if in compliance, in conflict, or silent; must include plan to remediate when in conflict or silent

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Themes from CMS Responses (cont'd)

- Individual setting assessments
 - All settings must be adequately assessed; 100% of settings must be validated (provider self-assessments not enough); participant surveys must be tied to specific settings; must have criteria for on-site visits
 - Reverse integration is not sufficient to comply with the community integration requirements
 - All congregate settings, including group SE, must be evaluated
- Heightened scrutiny process
 - Location alone insufficient to identify all “presumptively institutional” settings; must have a process for identifying “settings that isolate;” “individual home” presumption not apply to congregate settings
 - That someone “chose” a setting does not make it HCBS

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Themes from CMS Responses (cont'd)

- Reimbursement rates and service definitions
 - Must ensure that service definitions and provider reimbursement rates ensure capacity of, and incentivize, integrated settings (esp. non-disability specific settings)
- Remediation
 - Must have specific timelines and cannot backload
 - Must have a clear process for transition out of non-compliant settings, including notice, informed choice of other settings, and a good transition process
- Ongoing monitoring
 - Must describe how licensure or other programs will include ongoing monitoring of compliance

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Discussion Questions

- Is your state considering restructuring day programs as part of its HCBS transition planning? What strategies are they using?
- Is your state focusing on competitive integrated employment as part of its HCBS transition planning? What strategies are they using?
- How is your state involving families, self-advocates and other stakeholders in your HCBS transition planning?

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UPDATES RE: WORKFORCE INNOVATION AND OPPORTUNITY ACT

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WIOA Advisory Committee

- WIOA Created **Advisory Committee on Increasing Competitive Integrated Employment for Individuals with Disabilities**
 - Representatives include federal agencies (DOL, CMS, SSA, RSA), providers, national experts, representatives from national disability advocacy groups, and self-advocates
 - Charged with making recommendations about way to increase competitive integrated employment for people with significant disabilities and about use of 14(c) certificates for subminimum wage
 - Final report with findings, conclusions and recommendations sent to Congress and the US Labor Secretary September 15, 2016

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Advisory Committee's Sept 2016 Final Report

- **Overall Capacity Building.** In order to build more systemic capacity for CIE, there needs to be:
 - Guidance, policies and strategies to prioritize and align federal policies and funding for CIE
 - Data collection and analysis requirements for recipients of federal funding based on a common definition of CIE and outcomes
 - Funding initiatives to help agencies build CIE capacity, develop national standards of professional competence, and train professionals skilled in facilitating CIE
 - Oversight and direction provided by federal agencies as CIE is expanded

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Advisory Committee Final Report (cont'd)

- **Capacity Building for Youth.** For youth to effectively transition to adult employment there needs to be:
 - Early work experiences
 - Family involvement and support
 - Professional development and training
 - Systems integration for seamless transition
 - Available and transferable assistive technology

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Advisory Committee Final Report (cont'd)

- **Capacity Building Through Changes and Oversight of 14(c).** Recommendations include:
 - Congress amending the FLSA to allow for a multi-year, well-planned phase out of Section 14(c)
 - The Wage and Hour Division of the U.S. Department of Labor engaging in stronger oversight of the current use of 14(c) certificates
 - The federal government assisting states with building capacity of service systems to provide CIE services as alternatives to those provided under programs using a 14(c) certificate

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Advisory Committee Final Report (cont'd)

- **Building Capacity in the Marketplace.** Increased business and employer engagement is necessary to increase CIE through:
 - Increased and more effective outreach to businesses
 - Specific business-oriented professional development for employment services personnel
 - Incentives to create work experiences as preludes to employment
 - More accessible transportation
 - Hiring initiatives in high-growth industries, particularly healthcare
 - Additional outreach to federal contractors regarding the OFCCP Section 503 regulations which establish disability hiring goals
 - Revisions to federal tax incentives and credits available to employers who hire people with disabilities

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Advisory Committee Final Report (cont'd)

Capacity Building in Specific Federal Agencies. Increasing CIE will require partnerships and complementary actions among multiple federal agencies, including these activities:

- Establishment of a cross-agency working group to provide policy guidance and technical assistance on integrated day and wraparound service that complement CIE
- Demonstrating how the waiver of certain requirements in use of the Ticket-to-Work program will enable youth receiving SSI/SSDI to access services across systems that lead to CIE
- Developing a policy reform initiative designed to increase the number of SSI/SSDI beneficiaries in CIE and who are self-sufficient

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Advisory Committee Final Report (cont'd)

Increasing CIE Opportunities in the AbilityOne Program.

Reforming the AbilityOne® program so that it can create CIE opportunities on a broad scale will require:

- Amending the Javits-Wagner-O'Day Act (JWOD) to fully align the Act with modern federal disability law and policy goals by reforming the criteria for contract procurement selection and for program eligibility
- Research on current use of AbilityOne® in order to identify how the program is serving the target population and to determine steps for improving its ability to create CIE opportunities
- Evaluation of the implementation and impact of AbilityOne® reforms

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Discussion Questions

- What aspects of the final Committee Report would be useful to the SELN community if translated into shorter pieces?
- How is your state using WIOA to increase opportunities for competitive integrated employment? Have you seen it make a difference yet?

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Takeaways

- Recent federal policies – the HCBS rules, recent *Olmstead* enforcement, and WIOA – have created opportunities to transform states' IDD systems to better support integration, employment, and inclusion of people with disabilities.
- You need to think about how all of these policies can be aligned to push for the goal of increasing employment opportunities
- And this really is all about helping people with disabilities have a real and meaningful life . . .

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Closing Discussion: Ending Where We Started

- How do you best align and leverage all of these policies in your state to increase opportunities for competitive integrated employment?
- Are any of your states doing this? What strategies are you using?

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Resources

- HCBS Settings Rule resources:
 - www.hcbsadvocacy.org (sponsored by national advocates)
 - www.medicaid.gov/hcbs (Centers for Medicare & Medicaid Services)
- Olmstead resources:
 - www.ada.gov/Olmstead (Department of Justice)
- WIOA Resources
 - <https://www.dol.gov/odep/topics/wioa.htm> (Department of Labor)

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